

AML Admin Ministerial Directive

PROCEDURES

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Beem
CREDIT UNION

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1 Purpose

To establish a consistent process for reviewing transactions that are directly or indirectly associated with a country subject to an active Ministerial Directive under the Proceeds of Crime Money Laundering and Terrorist Financing Act (PCMLTFA).

This procedure ensures the AML Compliance Department applies appropriate Enhanced Due Diligence (EDD), documents its assessment, and meets all applicable FINTRAC reporting obligations.

2 Guidance

Use these procedures in conjunction with the frontline Credit Union [Ministerial Directive](#) Guidelines.

For further information on the active ministerial directives refer to the above guidelines.

3 Ministerial Directive Procedures

The AML Compliance Department will complete the following procedures to review activity identified to be related to a country subject to a Ministerial Directive.

3.1 Notification

The AML Compliance Team will receive a notification via email from credit union staff when they identify a transaction that is directly or indirectly connected to a country subject to an active Ministerial Directive.

In the case of wire transfers involving a country with a ministerial directive the notification will come to AML Compliance for review and approval through a CRM wire approval case.

Escalated transactions or activity may include:

- Incoming or outgoing wire transfers bound to or from directly or indirectly a country that has an active Ministerial Directive
- Transactions in a currency from a country that has an active Ministerial Directive (i.e. Iranian Rial, Russian Ruble, North Korean Won) including cash, cheque or electronic payments.
- Transactions involving an intermediary financial institution located in a Ministerial Directive country.
- Transactions where the originator, beneficiary, sender, receiver, or beneficial owner is connected to a Ministerial Directive country.
- Transactions involving border regions, intermediary jurisdictions, or locations of concern
- Identification of a foreign beneficiary or third-party which indicate a connection to a country under a directive
- Statements made by a member regarding the involvement of a country under a directive with a particular transaction

3.1.1 Information Required from Frontline Staff

The email notification from frontline staff must include the following information for AML Compliance to review:

Information	Details
Transaction Details	• Transaction date. • Transaction amount and currency. • Transaction type. • Originating and receiving parties.
Member Information:	• Member name • Member number • Account number • Updated KYM information including occupation • Confirmation of beneficial ownership, if applicable
Purpose of Transaction	• Stated purpose of payment. • Relationship between parties, if applicable
Source of Funds	• Explanation of source of funds. • Supporting documentation where available
Supporting Documentation	Examples include: • Invoices • Contracts or agreements • Proof of business activity • Wire instructions • Other documentation supporting the transaction purpose

3.2 AML Compliance Review

Upon receipt of the notification from staff, the AML Compliance team shall conduct an Enhanced Due Diligence (EDD) review within 1 business day of receipt from staff as transaction requires AML Compliance approval before completion.

3.2.1 Step 1 – Verify Information Provided

Review all information provided by frontline staff surrounding the requested transaction and determine whether any information is missing or additional information or documentation is required.

Where information is incomplete or further information is required, AML Compliance will follow up with frontline staff to gather details or documents from the member.

3.2.2 Step 2 – Conduct Risk Assessment

Assess the transaction considering:

- The country subject to the Ministerial Directive.
- The member's KYM information, including business relationship, intended use of accounts occupation/nature of business and expected activity.
- Purpose of the transaction.
- Source of funds.
- Transaction amount and frequency.
- Relationship between the member and any other parties involved.
- Whether any unusual activity or ML, TF, or sanctions evasion indicators are present.
- Adverse media, sanctions, or other relevant risk indicators, where applicable.

3.2.3 Step 3 – Assess Reasonableness

Determine whether the transaction appears reasonable and consistent with:

- The KYM information for the member.
- The stated purpose of the transaction.
- Available supporting documentation.
- Information obtained during the review.

3.3 Decisioning

After the AML Compliance Team has completed their review of the transaction or activity a determination on whether to approve or decline the transaction will be made.

3.3.1 Approved

AML Compliance may approve the transaction when:

- Sufficient information has been obtained.
- The purpose of the transaction is understood and is reasonable and in line with KYM information
- The source of funds is reasonably explained and supported by documentation where applicable
- No indicators of money laundering, terrorist financing, or sanctions evasion are identified.

3.3.2 Declined

AML Compliance may decline or recommend refusal of the transaction when:

- Required information cannot be obtained from the member
- Supporting documentation is insufficient or not provided by the member
- The transaction purpose cannot be reasonably substantiated and/or does not appear to be in line with typical or historical activity based on KYM information
- Money laundering, terrorist financing or sanctions evasion indicators are present and cannot be reasonably mitigated.

If the activity is declined based on the assessment the AML Compliance Team must escalate the activity for an [Unusual Activity Investigation](#).

3.4 Documenting review

The AML Compliance Team must fully document their review and assessment of the transaction and decision on whether to approve or decline the transaction.

In the case of a wire transfer request, either incoming or outgoing, the decision to approve the wire will be documented in the CRM Wire transfer approval case, refer to AML Admin Wire Transfer procedures for procedures on adding a note to a wire approval case - [Beem - AML Admin - High-Risk Wire Transfer Approval Procedures.pdf](#).

For all activity, including incoming or outgoing wires, the assessment and decision will be documented in the member profile in the Sunflower application.

3.4.1.1 Sunflower

The Sunflower profile for the applicable member must be updated with all required information pertaining to the ministerial directive review:

1. Navigate to Sunflower application in Navaera
 - a. Search for member profile
 - i. PERS_DXXX or ORG_DXXX
2. Click on the **Notes** tab
3. Add a detailed note outlining the assessment and decisioning. The following are examples of notes depending on the outcome of the assessment.
 - a. **Approved:**
 - i. An assessment was completed in response to the member's request to process a <TRANSACTION> (i.e. wire transfer, OC purchase, etc.). The purpose of the transaction was reviewed appears to be consistent with the member's KYM information, account history, and expected financial activity. Relevant account activity, transaction patterns, and available KYM information were reviewed as part of the assessment. No material

discrepancies, adverse information, or indicators of suspicious activity were identified during the review. The requested transaction amount and stated purpose are considered reasonable in the context of the member relationship and available information. Based on the information obtained and the assessment completed, the activity has been determined to be reasonable. AML approval has been provided to proceed with the requested transaction.

b. Declined:

- i. An assessment was completed in response to the member's request to process a <TRANSACTION> (i.e. wire transfer, OC purchase, etc.). The member's stated purpose for the transaction and supporting information were reviewed in conjunction with the member's KYM information, account history, expected financial activity, and recent transaction patterns. During the assessment, the requested activity was determined to be inconsistent with the member's known profile and expected account activity. The information provided did not sufficiently explain the nature or purpose of the transaction, and the available information did not mitigate the identified risk factors. Based on the assessment, the requested activity falls outside the credit union's risk appetite. Following the review, the requested transaction was declined by AML Compliance. The membership is being escalated for Unusual Activity Investigation.

4 Suspicious Transaction Reporting (STR) Assessment

As part of every Ministerial Directive review, AML Compliance Team must assess whether there are reasonable grounds to suspect that the transaction or attempted transaction is related to the commission or attempted commission of a money laundering offence, terrorist financing offence, or sanctions evasion offence and an STR is required.

4.1 Unusual Activity Investigation

During the review of the activity, if the AML Compliance Team identifies indicators of money laundering, terrorist financing, or sanctions evasion, the activity must be escalated to an Unusual Activity Investigation.

Indicators of unusual activity may include, but are not limited to:

- Inability to explain the purpose of the transaction.
- Unusual transaction structures.
- Inconsistent source of funds information.
- Attempts to conceal the true parties involved.
- Activity involving high-risk jurisdictions without a reasonable explanation.
- Information suggesting possible money laundering or terrorist financing.

If unusual activity is identified as part of the assessment, escalate to the [Beem - AML Admin - UAR and STR Reporting Guidelines and Procedures](#).

5 Record Keeping

All records pertaining to activity involving ministerial directives must be retained in accordance with the Credit Union's record retention requirements and applicable legislative obligations.

Email notifications must be retained in the AML Compliance email box in the following folder:

aml@beemcreditunion.ca → Ministerial Directives

CRM Wire Approval Cases involving ministerial directives will be stored within the CRM system under the member profile.

AML Compliance review and assessment notes will be retained under the member profile in the Sunflower application.

6 Version History

DATE	VERSION	CHANGE
Click or tap to enter a date.	003	<create links to any material changes within the document>
Click or tap to enter a date.	002	<create links to any material changes within the document>
June 17, 2026	001	Initial Version Created